southern states might look up to the solutions adopted in Karnataka on urban water supply.

We wince every time the expression ‘Central government’ is used in the popular discourse as this is suggestive of central planning and an exaggerated conception of the role of New Delhi. The phrase ‘Union government’ is an accurate description of the constitutional scheme, and a more modest phrase.

The problems of intra-India disparity

India is a continental economy, and there is very high heterogeneity within the country. As Lant Pritchett says, the ratio of the richest to the poorest parts of India is much like the ratio of the richest parts of Latin America divided by the poorest parts of Africa.

There is heterogeneity about conventional economic measures such as income and capabilities. There is also heterogeneity of political and social preferences, where the south and the west are making more progress on social issues such as the agency of women.

We may have once had a mental model that once economic development takes root in India, intra-India heterogeneity will subside. So far, there is little evidence of this convergence taking place. [1] There are other elements of the international experience, such as the poverty traps in the US or Italy, which have persisted for hundreds of years despite attempts by policymakers to change things. While we should desire convergence, we should not assume that it is afoot.

The heterogeneity of economic and social development, across the regions of India, generates heterogeneity in the public policy pathways desired by different groups of people. A policy position that is well liked in Uttar Pradesh may not be liked in Kerala, and vice versa. This creates conflict in a centralized public policy process.

These problems are addressed in a federal structure at three levels. The first involves reducing the extent to which decisions are taken in the Union